

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Tesla's net income** plunged 16% in the second quarter, marking the second quarter of steep declines at the company as automotive sales continue to fall. **A1**
- ◆ **Google parent Alphabet** reported a 14% year-to-year jump in revenue, driven by growth in its cloud division that was tempered by heavy spending on artificial intelligence. **B1**
- ◆ **The S&P 500 and Nasdaq** rose 0.8% and 0.6% to records and the Dow gained 1.1% after the U.S. and Japan reached a trade agreement. **B11**
- ◆ **Walmart is reworking** its artificial-intelligence efforts as the technology becomes a larger part of the retail giant's strategy for growth. **B3**
- ◆ **Morgan Stanley** is being probed by the Financial Industry Regulatory Authority over whether it properly vetted clients for money-laundering risks. **B1**
- ◆ **An investigation** at the World Economic Forum found that its founder, Klaus Schwab, engaged in a pattern of workplace misconduct over the past decade. **B1**
- ◆ **AT&T gained** wireless and internet subscribers in the second quarter and announced plans to invest further in its fiber-cable build-out. **B4**
- ◆ **Healthcare-software** company Waystar agreed to buy private-equity backed Iodine Software for \$1.25 billion, including debt. **B4**
- ◆ **Norwegian energy** company Equinor booked an impairment of nearly \$1 billion related to regulatory changes in the U.S. offshore wind industry and exposure to tariffs. **B3**

World-Wide

- ◆ **The Justice Department** told Trump in May that his name was in the Epstein files and at that meeting said the department had decided not to release more Epstein documents. **A1**
- ◆ **The Trump administration** promised to slash red tape and take steps to boost exports for U.S. technology companies in a bid to accelerate the nation's use of artificial intelligence. **A1**
- ◆ **Columbia University** reached a deal with the Trump administration, agreeing to pay \$200 million to settle allegations that it violated antidiscrimination laws. **A3**
- ◆ **Friends and family** of four murdered University of Idaho students addressed the man who confessed to their killings before he was sentenced to life in prison. **A3**
- ◆ **The Health and Human Services** Department moved to eliminate the mercury-based preservative thimerosal from flu shots, in a victory for antivaccine activists. **A3**
- ◆ **A judge put conditions** on the government's discretion to move Kilmar Abrego Garcia, the mistakenly deported man at the center of a legal battle, after he is released from jail. **A4**
- ◆ **Hospitals would be** required to disclose how they make key decisions about extremely premature infants in a bill to be introduced by Sen. Tom Cotton. **A5**
- ◆ **Iran will host** a delegation from the U.N. atomic agency in coming weeks, an Iranian official said, indicating potential progress on the resumption of nuclear monitoring there. **A16**

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Germany, France Eye 'First Step' to Nuclear Pact



GETTING TO JA: German Chancellor Friedrich Merz and French President Emmanuel Macron met Wednesday in Berlin as their countries discuss greater nuclear-arms cooperation. The talks are shaping up as less ambitious than first envisioned. **A16**

Tariff Framework Takes Shape As U.S. Converges on EU Deal

Japan agreement for a 15% duty puts new path in focus; uncertainty remains

President Trump's push to introduce a new standard for global trade is coming into sharper focus as U.S. and EU

By *Chao Deng, Kim Mackrael and Gavin Bade*

officials converge on a possible 15% tariff deal, which could come on the heels of a similar agreement with Japan.

Taken together, the two developments represent a turning point in months of global trade negotiations that have stoked uncertainty among investors and America's biggest trading partners. Much remains unsettled one week before President Trump's self-imposed Aug. 1 deadline for reaching trade deals with other countries. Deals with two of the U.S.'s largest trading partners, Canada and Mexico, haven't been reached and those countries face getting slapped with 35% and 30% tariffs, respectively, if deals aren't struck before next week. Tariffs of 25% currently apply to

both countries, with exemptions for certain products. A 90-day truce with Beijing has already brought additional tariffs on Chinese exports to the U.S. this year down to 30%, an amount that includes 10% levies on all U.S. imports. Tariffs on the country could soar again on Aug. 12. The developments with Japan and the EU offer some clarity to businesses and the global economy after months of turmoil. Businesses have held back on major investments and decisions amid Trump's back-and-forth tariff announcements and uncertainty over whether countries could reach trade deals with his administration. "When you have these framework agreements, that takes the risk of more damaging tit-for-tat trade wars off the table," said Brett Ryan, senior U.S. economist at Deutsche Bank. The 15% levy on goods for the most part represents the highest tariff level on Japan in decades, and is higher than the 10% on most U.S. imports *Please turn to page A2*

◆ **U.S. carmakers blast Japan deal, but shares rise..... A2**
◆ **Stocks rally on signs of progress in trade talks...B11**

INSIDE



BUSINESS & FINANCE
Tom Hayes, the former trader in the Libor scandal, wins a last-ditch appeal. **B1**



SPORTS
How Detroit's Tarik Skubal caught the eye of a scout on a snowy day. **A12**

How to Catch a Wily Poacher In a Sting: Thermal Robotic Deer

Wildlife officers looking to outfox illegal hunters turn to this taxidermist

By **JAMES FANELLI**

Brian Wolslegel's remote-controlled animals can wiggle their ears, move their legs and, in some cases, poop. These deer, bears and coyotes aren't country-fair booth decoys. His lifelike robotics are the centerpiece of sting operations to nab illegal hunters around the U.S.

"It's about always advancing, trying to stay one step ahead," the 54-year-old taxidermist said. Wolslegel traveled to a wildlife-enforcement conference in Erie, Pa., this month to

showcase his latest invention: a heat-emitting robotic deer. The new product—assembled from dead animal skin and remote-control car parts—aims to make his decoys even more lifelike, helping officers outfox poachers who have wised up to his earlier models. Some illegal hunters are using thermal rifle scopes to check if the animal gives off body heat before firing a shot. Wildlife-enforcement officers and poachers have locked horns for decades across the U.S., in national parks, as well *Please turn to page A10*



Body double

DOJ Told Trump His Name Is Among Those in Epstein Files

When Justice Department officials reviewed what Attorney General Pam Bondi called a "truckload" of documents related to Jeffrey Epstein earlier this year, they discovered that Donald Trump's name appeared

By *Sadie Gurman, Annie Linskey, Josh Dawsey and Alex Leary*

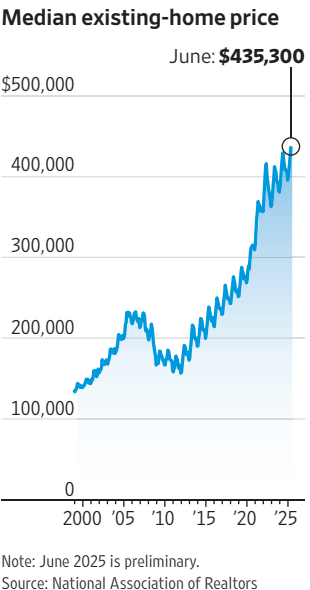
multiple times, according to senior administration officials. In May, Bondi and her deputy informed the president at a meeting in the White House that his name was in the Ep-

stein files, the officials said. Many other high-profile figures were also named, Trump was told. Being mentioned in the records isn't a sign of wrongdoing. The officials said it was a routine briefing that covered a number of topics and that Trump's appearance in the documents wasn't the focus. They told the president at the meeting that the files contained what officials felt was unverified hearsay about many people, including Trump, who had socialized with Epstein in the past, some of the officials said. One of the officials familiar

with the documents said they contain hundreds of other names. They also told Trump that senior Justice Department officials didn't plan to release any more documents related to the investigation of the convicted sex offender because the material contained child pornography and victims' personal information, the officials said. Trump said at the meeting he would defer to the Justice Department's decision to not release any further files. The meeting set the stage for the high-profile review to come *Please turn to page A6*

Prices Stall Home Sales

Home prices rose to a high in June while the crucial spring sales season fizzled, a troubling sign for the industry. **A2**



Tesla's Profit Plunges, Hurt by EV Sales Drop

By **BECKY PETERSON**

Tesla's net income plunged 16% in the second quarter, marking another quarter of steep declines at the company as automotive sales continue to fall. Speaking with Wall Street analysts on Wednesday, Tesla Chief Executive Elon Musk highlighted plans to release a lower-priced Model Y electric vehicle, spoke about his hopes for a new pay package from the company's board in fall and talked up plans to "greatly expand" Tesla's robotaxi service to half the country by the end of the year. "We're in this weird transition period where we'll lose a lot of incentives in the U.S.," he said, alluding to an expir-

ing tax credit designed to boost EV sales. "But we're still at the relatively early stages of autonomy." Musk added: "We probably could have a few rough quarters. I'm not saying we will, but we could." But the CEO said he still expects autonomous vehicles to improve Tesla's finances by the end of next year. Musk has encouraged investors to focus their attention on future revenue streams stemming from its investments in autonomous vehicles and robotics. In June, Tesla launched a small fleet of robotaxis near its headquarters in Austin, Texas. The ride-share app is currently restricted to the downtown and South Con- *Please turn to page A4*